The Rank Group plc (: RNK.L)

Q1 FY2027 Earnings — Analyst Brief · Released 15 Oct 2026 · Currency GBP (tables in £m; USD equivalents at ~1.33 shown in parentheses)

Broadly flat on the day's open: 74.10p (~$0.99) at 09:31 BST, +0.3% versus the 73.90p prior close (Sharecast/ADVFN); the stock entered the print down c.14% over one month, c.23% over three and c.43% over twelve (Shore Capital, 15 Oct 2026), implying a market cap of c. £347m (~$461m) on 468.4m shares. The 15 October closing level could not be verified [unverified].

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THE ONE-LINE VERDICT

A clean but revenue-only Q1: LFL NGR +5% to £216.1m (~$287m), digital +6% and Grosvenor +6% (machines +14%) absorbing the first full quarter of 40% Remote Gaming Duty, with FY27 guidance reiterated as "in line with market expectations" — explicitly conditional on no Budget change to Machine Games Duty. The print neither re-rates nor de-rates the equity; the stock remains a binary on the Autumn Budget, where Shore Capital sizes a hypothetical MGD doubling at £35m (~$47m) gross against FY26 underlying operating profit of £78.6m (~$105m). Beneath the headline, growth decelerated through the quarter (first six weeks +8%, full quarter +5%) and Mecca visits fell again.

GROUP LFL NGR (Q1 FY27)	DIGITAL LFL NGR	GROSVENOR VENUES LFL NGR	GROSVENOR GAMING MACHINES NGR	MECCA VENUES LFL NGR	FY27 LFL OPERATING PROFIT GUIDANCE
£216.1m (~$287m)	**£64.9m (~$86m)**	**£108.1m (~$144m)**	**+14% YoY**	**£32.2m (~$43m)**	**In line with market expectations**
+5% YoY LFL; +3.4% QoQ	+6% YoY (UK +6%, Intl +4%); Q4 FY26 was +12%	+6% YoY; visits +1%, spend/visit +5%	vs +12% Q4 FY26, +10% Q3 FY26	0% YoY; visits −3%, spend/visit +3%	Unchanged; conditional on current UK tax regime

1 EXECUTIVE SUMMARY

- **Headline in line, no profit disclosure.** Q1 FY27 (three months to 30 Sep 2026) Group like-for-like NGR +5% to £216.1m (~$287m): digital +6% to £64.9m (~$86m), venues +5% to £151.2m (~$201m). Rank's Q1 statement is revenue-only — no EBITDA, profit, cash or customer-count disclosure — so the quarter is judged on top-line and tone alone. Growth is at the top end of Shore Capital's unchanged 4–5% FY27 LFL NGR assumption.
- **Guidance unchanged, but explicitly conditional.** FY27 Group LFL operating profit guided "in line with market expectations" "based on the current industry tax regime in the UK". No division drove a change because there was none; the caveat is the story. Shore Capital holds FY27 adj. PBT at £54.7m (~$73m), modelling a c.£9m (~$12m) YoY operating profit decline (i.e. c.£70m, ~$93m) on a c.£20m (~$27m) net RGD headwind. Company-compiled consensus was not retrieved [unverified].
- **Deceleration inside the quarter is the under-reported signal.** At the 13 Aug prelims, the first six weeks of FY27 showed Group NGR +8%, digital +10% and Grosvenor machines +15%. A full quarter at +5%/+6%/+14% implies weeks 7–13 ran at roughly +2–3% for Group and digital on equal-weekly arithmetic (our estimate). Management cited the UK heatwave for Mecca only; nothing was offered for the digital slowdown.
- **Digital held up at 40% RGD with marketing cut — but growth halved.** UK digital +6% (Mecca online +7%), international +4%, in the first full quarter at the 40% duty rate (21% to 31 Mar 2026) and with above-the-line marketing "significantly reduced". This compares with +12% in Q4 FY26 (UK +12%) and +13% in Q1 FY26 (UK +15%, Grosvenor online +31%). Grosvenor online growth was not disclosed this quarter — a notable omission for the largest cross-channel brand (£94.6m, ~$126m FY26 NGR).
- **Grosvenor is the operating engine.** LFL NGR +6% to £108.1m (~$144m), visits +1%, spend per visit +5%, +10% QoQ on Q4 FY26's Middle-East-affected £98.3m (~$131m). Machines +14% is the fourth consecutive quarter of acceleration (Q3 FY26 +10%, Q4 +12%) following the 850-machine rollout; tables +3% (FY26 flat), electronic +5%. Implied weekly NGR c.£8.3m (~$11.0m) vs £7.6m (~$10.1m) FY26 average and the £9.5m (~$12.6m) medium-term target.
- **Three Grosvenor casinos closed** (Swansea, Reading Central, Sunderland) as "no longer economically viable in the medium term", following nine Mecca closures in FY26. Closure costs will land in H1 FY27 separately disclosed items (unquantified) and the LFL base is being re-cut again — estate pruning flatters LFL op profit margin but shrinks the reported revenue base.
- **Mecca flat, and visits keep falling.** LFL NGR £32.2m (~$43m), 0% YoY; visits −3%, spend per visit +3%. The visit trend has deteriorated each period (−1% Q1 FY26, −2% FY26, −3% now) and spend-per-visit growth halved from +6%. Weather is the stated cause; the structural attrition of an older customer base is the unstated one. The August target of "double-digit operating profit in 2026/27" (FY26: £8.9m, ~$12m) was not reiterated in the Q1 statement.
- **Enracha the quiet compounder.** Spanish venues LFL NGR +7% to £10.9m (~$14m), electronic gaming +11%, consistent with +5% (Q1 FY26), +7% (FY26) and +6% (Q4 FY26); FY26 LFL op profit a record £12.0m (~$16m) at a 26.5% margin — the group's highest-margin unit and, together with Yo digital, a natural hedge against UK fiscal risk.
- **Tax is the whole debate.** RGD rose from 21% to 40% on 1 Apr 2026; Rank quantified the gross annual operating profit impact at c.£40m (~$53m) before mitigation (Nov 2025 Budget RNS) and management said in August that "digital profitability will inevitably step down in 2026/27". MGD sits at 20%; Shore Capital estimates a hypothetical doubling to 40% would be a £25m (~$33m) gross hit at Grosvenor and £10m (~$13m) at Mecca — c.45% of FY26 underlying operating profit. Peel Hunt expects the Budget to pass without negative effect.
- **CEO messaging is lobbying, not guiding.** Richard Harris: any MGD increase "will increase costs, reduce venue viability, lead to venue closures and job losses, reduce tax receipts and halt investment"; SBC reports he has suggested a hike could close around a third of venues. Rank paid £225.9m (~$300m) in UK/Spanish taxes and duties in FY26 (£198.9m, ~$265m in the UK).
- **Cost mitigation: delivered in H2 FY26, nothing new quantified.** The RGD response (ATL marketing cuts, supplier savings, headcount reductions) held FY26 LFL employment costs flat at £270.3m (~$359m) despite c.4% underlying inflation and let FY26 underlying operating profit reach £78.6m (~$105m), +21%, 9.4% margin. FY27 capex is guided to

normalise to c.£40m (~$53m) from £50.2m (~$67m), with "further improvement in underlying cash generation". No new programme or target-year savings were disclosed at Q1.

- **Capital position (last reported 30 Jun 2026) is comfortable.** Net cash pre-IFRS 16 £56.8m (~$76m); IFRS 16 net debt £147.2m (~$196m) = c.1.1x FY26 underlying EBITDA of £138.3m (~$184m) (our calc), comprising £204.0m (~$271m) leases and £30m (~$40m) drawn on a new four-year £120m (~$160m) RCF against £86.8m (~$115m) cash. FY26 net free cash flow £25.5m (~$34m) after £10.3m (~$14m) SDI cash outflows. Final dividend 2.50p (~$0.033) paid 23 Oct; FY26 total 3.50p (~$0.047), +35%. No buyback; policy is progressive dividend to >35% payout with surplus returns at Board discretion.
- **Legacy one-offs still bleeding cash.** FY26 SDIs of £22.9m (~$30m) included the £6.5m (~$8.6m) Spanish payment fraud, a £5.0m (~$6.7m) proposed Gambling Commission settlement for historical Grosvenor venue compliance failings (review period Nov 2024–May 2025), £6.7m (~$8.9m) Mecca closure costs and £3.7m (~$4.9m) restructuring. Management flagged further SDI cash outflows in FY27; the three Q1 casino closures add to the list.
- **Medium-term targets stand (as of August).** ≥£100m (~$133m) underlying operating profit; Grosvenor £9.5m (~$12.6m) weekly NGR with +500bps margin; machine NGR ≥£3m (~$4.0m)/week vs £2.2m (~$2.9m) in FY26; ROCE 18.3% in FY26 (+3.2ppt). Shore notes an MGD rise could delay the £100m. Q1 did not restate these.
- **Governance remains in transition.** Richard Harris (ex-CFO) became interim CEO on 30 Jan 2026 and permanent CEO on 13 Jul 2026; interim CFO Cliff Baty sits on ExCo but not the Board; Chair John Ott since Nov 2025; Lucinda Charles-Jones left the Board after the 8 Oct AGM, leaving interim Audit (Keith Laslop) and Remuneration (Katie McAlister) chairs and a vacant SID role. AGM resolutions passed comfortably (McAlister re-election 98.2% for). A permanent CFO and SID are overdue.
- **Strategy pivot to 'casino-led and bingo-led gaming'.** FY27 initiatives flagged in August — smaller-format, machine-led casino trial on spare licences; Mecca social lounges (Stockton £1.6m, ~$2.1m); Mecca app rollout due complete by end Q1 FY27 and single membership in H1 FY27; YoBingo Portugal; Intelligent Customer Platform — none received a progress update in the Q1 statement.
- **Comparables frame the slowdown.** Quarterly Group LFL NGR growth: Q1 FY26 +9%, H1 FY26 +6% (£419.8m, ~$558m), Q4 FY26 +6% (£208.9m, ~$278m), FY26 +6% (£834.1m, ~$1.11bn), Q1 FY27 +5%. Digital: +13%, c.+4% (Q2 implied), +2% (Q3), +12% (Q4), +6%. The Q4 FY27 comp (+12% digital) is the hardest in the year.
- **Market reaction: a non-event into a known binary.** Shares were broadly flat early at 74.10p (~$0.99), +0.3% vs the 73.90p prior close, having fallen c.14% over one month, c.23% over three and c.43% over twelve (Shore Capital). At 74p the market cap is c.£347m (~$461m) and EV/FY26 underlying EBITDA c.3.6x on an IFRS 16 basis (our calc) — the Budget is largely priced, which is Shore's point.
- **Thesis read-through.** Operationally the equity story is intact: machine-led Grosvenor growth, a UK digital business proven viable at 40% RGD, estate pruning and falling capex driving FCF. But the quarter adds two non-Budget worries — in-quarter deceleration in digital and a third consecutive decline in Mecca visits — and the only catalysts that matter are the Budget (date not confirmed in our sources) and H1 results on 28 Jan 2027.

2 GROUP FINANCIAL SUMMARY

£M (USD AT ~1.33)	Q1 FY27 (LFL)	QOQ VS Q4 FY26	YOY (LFL)	Q1 FY26 (AS REPORTED)	FY26 (12M TO JUN-26, REF)
NET GAMING REVENUE (LFL) BY SEGMENT					
Digital	£64.9m (~$86m)	+1.6%	+6%	£61.6m (~$82m), +13%	£248.5m (~$331m), +8%
Grosvenor venues	£108.1m (~$144m)	+10.0%	+6%	£102.7m (~$137m), +8%	£397.3m (~$528m), +5%
Mecca venues Q4 FY26 and Q1 FY26 figures pre-date the FY27 LFL re-basing for the nine Mecca clubs closed in FY26 (FY26 revenue £12.6m, ~$17m); QoQ and absolute YoY comparisons are therefore not like-for-like.	£32.2m (~$43m)	−9.0%	0%	£35.5m (~$47m), +5%	£143.0m (~$190m), +4%
Enracha venues (Spain)	£10.9m (~$14m)	−3.5%	+7%	£10.4m (~$14m), +5%	£45.3m (~$60m), +7%
Venues subtotal	£151.2m (~$201m)	+4.3%	+5%	£148.6m (~$198m), +7%	£585.6m (~$779m), +5%
Group LFL NGR	**£216.1m (~$287m)**	**+3.4%**	**+5%**	**£210.2m (~$280m), +9%**	**£834.1m (~$1.11bn), +6%**
Reported (statutory) NGR	n/d	n/a	n/a	n/d	£835.0m (~$1.11bn), +5%
REVENUE BY CHANNEL / PRODUCT					
Digital share of Group NGR	30.0%	−0.6pp	+0.7pp	29.3%	29.8%
Venues share of Group NGR	70.0%	+0.6pp	−0.7pp	70.7%	70.2%
Grosvenor product growth: machines / tables / electronic	+14% / +3% / +5%	Q4: +12% / n/d / n/d	—	n/d	+11% / 0% / +5% (£113.2m / £175.0m / £62.5m)
Digital by brand: Mecca / Grosvenor / other / Enracha-Yo	+7% / n/d / n/d / Intl +4%	n/d	—	+9% / +31% / n/d / n/d	£103.0m +6% / £94.6m +13% / £21.0m −5% / £29.9m +7%
PROFITABILITY (UNDERLYING = EX SEPARATELY DISCLOSED ITEMS)					
Underlying EBITDA / margin	n/d (revenue-only update)	n/a	n/a	n/d	£138.3m (~$184m), +15%; 16.6%
Underlying operating profit / margin	n/d	n/a	n/a	n/d	£78.6m (~$105m), +21%; 9.4%
Underlying LFL op profit – Grosvenor	n/d	n/a	n/a	n/d	£35.5m (~$47m), +11%; 8.9%
Underlying LFL op profit – Mecca	n/d	n/a	n/a	n/d	£8.9m (~$12m), +107%; 6.2%
Underlying LFL op profit – Enracha	n/d	n/a	n/a	n/d	£12.0m (~$16m), +8%; 26.5%
Underlying LFL op profit – Digital	n/d	n/a	n/a	n/d	£37.9m (~$50m), +8%; 15.2%
Corporate costs	n/d	n/a	n/a	n/d	−£14.4m (~−$19m)
Statutory operating profit	n/d	n/a	n/a	n/d	£55.7m (~$74m), −7% (SDIs £22.9m)
Statutory profit before tax	n/d	n/a	n/a	n/d	£39.2m (~$52m), −15%
Net income (statutory PAT)	n/d	n/a	n/a	n/d	£29.9m (~$40m), −23%
Basic EPS (GAAP)	n/d	n/a	n/a	n/d	6.4p (~$0.085), −22%
Underlying EPS	n/d	n/a	n/a	n/d	10.5p (~$0.14), +15%
Dividend per share	n/a	n/a	n/a	n/a	3.50p (~$0.047), +35%; final 2.50p paid 23 Oct 2026
GROUP KPIS					
Grosvenor visits / spend per visit	+1% / +5%	n/d	—	+5% / +3%	+2% / +3%
Mecca visits / spend per visit	−3% / +3%	n/d	—	−1% / +6%	−2% / +6%
Grosvenor avg weekly NGR (derived, NGR/13)	~£8.3m (~$11.0m)	vs ~£7.6m	+6%	~£7.9m (~$10.5m)	£7.6m (~$10.1m) reported
Monthly actives / ARPU	n/d	n/d	n/d	n/d	n/d (FY26: digital ARPU +10%; FTDs up per Shore)
CASH & BALANCE SHEET (LAST REPORTED 30 JUN 2026)					
Cash inflow from operations	n/d	n/a	n/a	n/d	£142.9m (~$190m)
Net free cash flow	n/d	n/a	n/a	n/d	£25.5m (~$34m), −8% (after £10.3m SDI cash)
Capital expenditure	n/d (FY27 guide c.£40m, ~$53m)	n/a	n/a	n/d	£50.2m (~$67m), −14%
Net cash pre-IFRS 16	n/d	n/a	n/a	n/d	£56.8m (~$76m), +25%
Net debt (IFRS 16)	n/d	n/a	n/a	n/d	£147.2m (~$196m): leases £204.0m, RCF £30m, cash

£M (USD AT ~1.33)	Q1 FY27 (LFL)	QOQ VS Q4 FY26	YOY (LFL)	Q1 FY26 (AS REPORTED)	FY26 (12M TO JUN-26, REF)
					£86.8m
Leverage (net debt / underlying EBITDA, IFRS 16, our calc)	n/d	n/a	n/a	n/d	c.1.1x; net cash ex-leases
Liquidity	n/d	n/a	n/a	n/d	£120m (~$160m) 4-yr RCF (Jun-26), £90m (~$120m) undrawn

3 SEGMENT DEEP-DIVE — DIGITAL (UK: MECCA, GROSVENOR, PROPRIETARY BRANDS; INTERNATIONAL: YO/ENRACHA SPAIN, PORTUGAL)

Resilient at 40% RGD with marketing cut — +6% to £64.9m (~$86m) — but growth halved from Q4 and faded through the quarter; profitability step-down is the FY27 certainty.

Q1 REVENUE

Digital LFL NGR rose 6% to £64.9m (~$86m), resilient under 40% RGD with marketing cut, but growth roughly halved from Q4.

- First full quarter under 40% Remote Gaming Duty (up from 21% from 1 April 2026), with above-the-line marketing "significantly reduced".
- UK grew 6%, led by Mecca online at +7%; international (YoBingo/YoCasino/YoSports Spain plus Portuguese YoBingo) +4%.
- Sequentially +1.6% on Q4 FY26's £63.9m (~$85m); growth rate halved from Q4's +12% and Q1 FY26's +13% (UK +15%, Grosvenor online +31%, Mecca online +9%).
- Shore Capital highlighted growth in first-time depositors; Digital was 30.0% of Group NGR, broadly unchanged.

> *"to demonstrate resilient customer metrics despite the higher tax regime"* — **Management**

INTRA-QUARTER FADE

First six weeks ran +10%; a +6% quarter implies the remaining seven weeks at roughly +2–3% (our estimate), back toward Q3 FY26's +2% run-rate.

- Q3 FY26's +2% had been blamed on platform stability before the Q4 rebound.
- Grosvenor online (13% growth in FY26, largest cross-channel brand at £94.6m, ~$126m) was not disclosed; inference is it grew below the UK average of 6%.
- Other proprietary brands (Spin & Win, Lucky Pants; £21.0m, ~$28m, −5% in FY26) were again unmentioned and likely remained in decline despite brand refreshes.

MARKETING AND COST DRAGS

Marketing is the swing variable; management signals a re-balance that may require redeploying spend into performance marketing to sustain the top line.

- ATL cuts protected FY26 profit; Rank does not disclose marketing as % of NGR, monthly actives or ARPU at quarterly points.
- FY26 UK average revenue per customer +10%, with free bets and incentives maintained; NGR is defined as GGR less customer incentives.
- Structural drags persist: statutory RPT levy at 1.1% of GGY (£2.7m, ~$3.6m in FY26) and online slots staking limit (£4.0m, ~$5.3m profit impact in FY26).

> *"Our focus on the customer proposition and overall marketing spend balance remains a priority as the wider digital landscape continues to reset."* — **Management**

PROFITABILITY OUTLOOK

Profit undisclosed; we estimate FY27 digital operating profit of £22–27m (~$29–36m), a 10–11% margin, versus FY26's £37.9m (~$50m) at 15.2%.

- FY26 included only one quarter at 40% RGD; management guided in August that "digital profitability will inevitably step down in 2026/27".
- November 2025 Budget RNS put gross pre-mitigation annual impact at c.£40m (~$53m); Shore Capital models c.£20m (~$27m) net headwind after mitigation.
- Q4 FY27 comparison (+12%) is the toughest of the year.
- Any HM Treasury move to apply 40% to gross gaming yield rather than gross gaming revenue — Rank's lobbying ask — would be upside not in anyone's numbers.

INTERNATIONAL AND WATCH ITEMS

International grew 4% versus Spain's +13% in H2 FY26; at c.£30m (~$40m) annual NGR, diversification remains more narrative than number.

- Slowdown suggests Spain decelerated or Portugal's start-up is diluting the aggregate — no split given; Spain had resolved platform capacity constraints.
- International is c.12% of digital.
- Segment guidance implicit in Group "in line with market expectations" line.
- Watch the Intelligent Customer Platform implementation, Gambling Commission Financial Risk Assessment rollout, and whether marketing intensity rises into H2.

DIGITAL (£M; USD AT ~1.33)	Q1 FY27 (LFL)	QOQ VS Q4 FY26	YOY (LFL)	Q1 FY26 (AS REPORTED)	FY26 (REF)
LFL NGR	**£64.9m (~$86m)**	**+1.6%**	**+6%**	**£61.6m (~$82m), +13%**	**£248.5m (~$331m), +8%**
UK digital NGR growth	+6%	Q4: +12%; Q3: +2%	—	+15%	+8%
International digital NGR growth	+4%	n/d (Spain H2 FY26: +13%)	—	n/d	+7%
Mecca online NGR	+7%	n/d	—	+9%	£103.0m (~$137m), +6%
Grosvenor online NGR	n/d	n/d	—	+31%	£94.6m (~$126m), +13%
Other proprietary brands NGR	n/d	n/d	—	n/d	£21.0m (~$28m), −5%
Enracha/Yo digital NGR	n/d (Intl +4%)	n/d	—	n/d	£29.9m (~$40m), +7%
Share of Group NGR	30.0%	30.6%	29.3%	29.3%	29.8%
Remote Gaming Duty rate (UK)	40% (full quarter)	40% (first quarter at 40%)	vs 21%	21%	21% to 31 Mar; 40% from 1 Apr 2026
Underlying LFL operating profit / margin	n/d	n/a	n/a	n/d	£37.9m (~$50m), +8%; 15.2%
Statutory operating profit	n/d	n/a	n/a	n/d	£31.3m (~$42m), −16%
Marketing % NGR / actives / ARPU	n/d (ATL 'significantly reduced')	n/d	n/d	n/d	n/d; UK ARPU +10%
Implied growth, weeks 7–13 (our estimate)	c.+2–3%	first 6 wks: +10%	—	—	—

4 SEGMENT DEEP-DIVE — GROSVENOR VENUES (UK CASINOS)

+6% to £108.1m (~$144m) on spend per visit; machines +14% and accelerating for a fourth quarter — the operating thesis, and the MGD exposure, in one segment.

Q1 REVENUE

LFL NGR grew 6% to £108.1m (~$144m), driven by spend per visit +5% with visits +1%; part of the +10% QoQ is recovery.

- Q1 FY26 was +8% (visits +5%, spend per visit +3%) when the £15m (~$20m) Victoria, Edgware Road reopening drove footfall.
- Q4 FY26 (£98.3m, ~$131m) growth had slowed to +3% as the Middle East conflict hit London table play.
- Implied weekly NGR c.£8.3m (~$11.0m) vs £7.6m (~$10.1m) for FY26 and £9.5m (~$12.6m) medium-term target paired with 500bps margin ambition.
- No London versus rest-of-UK split this quarter (FY26: £123.6m / £273.7m, both +5%).

MACHINES AND MIX

Gaming machines grew 14%, the fourth consecutive quarter of acceleration, supporting margin but concentrating MGD exposure.

- Cadence: Q3 FY26 +10%, Q4 +12%, first six weeks FY27 +15%; 850 incremental machines installed across 38 casinos in H1 FY26 with minimal capital.
- Machines take two to three years to mature; weekly machine NGR £2.2m (~$2.9m) in FY26 should reach at least £3m (~$4.0m); Q1 tracking toward c.£2.5m.
- Table gaming +3% (flat in FY26; 44% of casino NGR); electronic gaming +5% (16% of NGR).
- FY26 machine NGR of £113.2m (~$151m) sits under Machine Games Duty at 20%.

ESTATE RESHAPING

Swansea, Reading Central and Sunderland closed as "no longer economically viable in the medium term"; estate is being rebuilt around machine economics.

- Follows FY26 impairment charges of £9.4m (~$12.5m) against reversals of £3.9m (~$5.2m); closure costs fall into H1 FY27 separately disclosed items (unquantified).
- FY27 brings trials of smaller-format machine- and electronic-terminal-led casinos using spare licences, a real-time machine loyalty trial in H1, and sports betting terminals in 24 venues.
- Refurbishment capex redirected toward smaller, higher-return schemes after analysis showed these outperform large projects.

PROFIT AND MGD RISK

We estimate FY27 Grosvenor operating profit of £38–41m (~$51–55m) before any MGD change; a doubling to 40% would cost £25m (~$33m).

- FY26 underlying LFL operating profit £35.5m (~$47m), +11%, 8.9% margin; employment costs £161.8m (~$215m) up 2% on National Minimum Wage and 0.5% RPT levy.
- Semi-fixed cost base has historically delivered c.60% drop-through; loss-making venues removed and depreciation moderating.
- Shore Capital's £25m hypothetical MGD hit is roughly two-thirds of FY26 segment profit, which is why the CEO's statement devotes more words to the Budget than trading.

REGULATORY AND GUIDANCE

The £5.0m (~$6.7m) proposed Gambling Commission settlement relates to historical Grosvenor compliance failings; machines are the one unambiguous positive.

- Review period 1 Nov 2024–1 May 2025; remedial actions substantially implemented in H1 FY26, facial-recognition entry trials under way.
- Segment guidance subsumed in the Group line; machine performance is the lever on which the £100m (~$133m) Group target depends.

> *"underlining our confidence in further improvement as we optimise the performance of the machine estate"* — **Management**

GROSVENOR VENUES (£M; USD AT ~1.33)	Q1 FY27 (LFL)	QOQ VS Q4 FY26	YOY (LFL)	Q1 FY26 (AS REPORTED)	FY26 (REF)
LFL NGR	**£108.1m (~$144m)**	**+10.0%**	**+6%**	**£102.7m (~$137m), +8%**	**£397.3m (~$528m), +5%**
Customer visits	+1%	n/d	—	+5%	+2%
Spend per visit	+5%	n/d	—	+3%	+3%
Gaming machines NGR	+14%	Q4: +12%; Q3: +10%	—	n/d	£113.2m (~$151m), +11%
Table gaming NGR	+3%	n/d (H2 hit by Middle East)	—	n/d	£175.0m (~$233m), 0%
Electronic gaming NGR	+5%	n/d	—	n/d	£62.5m (~$83m), +5%
Other incl. poker	n/d	n/d	—	n/d	£46.6m (~$62m), +8%
London / Rest of UK NGR growth	n/d	n/d	—	+4% / +10%	+5% / +5% (£123.6m / £273.7m)
Avg weekly NGR (derived)	~£8.3m (~$11.0m)	~£7.6m	+6%	~£7.9m	£7.6m (~$10.1m); target £9.5m
Avg weekly machine NGR	n/d (~£2.5m implied)	n/d	—	n/d	£2.2m (~$2.9m); target ≥£3m
Venue closures in period	3 (Swansea, Reading Central, Sunderland)	0	—	0	0 (impairments £9.4m, reversals £3.9m)
Underlying LFL operating profit / margin	n/d	n/a	n/a	n/d	£35.5m (~$47m), +11%; 8.9%
Statutory operating profit	n/d	n/a	n/a	n/d	£23.5m (~$31m), −21%
Machine Games Duty rate	20%	20%	—	20%	20% (Shore: 40% = £25m gross hit)

5 SEGMENT DEEP-DIVE — MECCA VENUES (UK BINGO)

Flat at £32.2m (~$43m) with visits −3% — weather is the stated reason, but visit attrition has worsened for three straight periods; the duty-abolition tailwind still points to double-digit profit.

Q1 REVENUE

LFL NGR flat at £32.2m (~$43m), visits −3% and spend per visit +3%, with hot weather the stated reason.

- Absolute figure is 9% below Q1 FY26's £35.5m (~$47m) and Q4 FY26's £35.4m (~$47m), but neither is like-for-like.
- Nine clubs closed during FY26 (FY26 revenue £12.6m, ~$17m, roughly £3m a quarter) removed from the base, leaving 41 clubs.

> *"the prolonged period of hot weather in the UK"* — **Management**

VISIT TREND

Visit attrition has worsened for three straight periods (−1%, −2%, −3%) and spend-per-visit growth has halved from +6% to +3%.

- Shore Capital expects improvement as weather normalises; Q2 FY26 comparison was "slightly softer", so H1 optics may recover.
- Mainstage bingo +12% in FY26 and in good health; interval bingo flat; gaming machines +6%, 42% of NGR, carry the growth.
- 60% of visits played on tablets, electronic customers 80% of mainstage spend; growth depends on digitising an ageing customer base in a shrinking estate.

PROFIT OUTLOOK

Bingo duty abolition gives c.£4.8m (~$6.4m) incremental FY27 benefit; we estimate £10–12m (~$13–16m) profit, but MGD doubling would exceed FY26 profit.

- FY26 underlying LFL operating profit £8.9m (~$12m), +107%, 6.2% margin; duty abolished from start of Q4 FY26 with £1.6m (~$2.1m) in-year, c.£6.4m (~$8.5m) annualised.
- August guidance of "well on track to deliver double digit operating profit in 2026/27" was not repeated in the Q1 release.
- Shore's £10m (~$13m) gross MGD hit would exceed Mecca's entire FY26 profit — bingo clubs are the most MGD-sensitive assets in the group.

INITIATIVE PIPELINE

Nothing on initiatives was updated on 15 October — a disclosure gap investors should press on at the 28 January interims.

- August listed the proprietary Mecca app (rollout due by end Q1 FY27), single membership in H1 FY27, £1.6m (~$2.1m) Stockton social lounge, kiosks, contactless interval bingo, five signage schemes.
- Clubs with machine-area investment grew machine income 9% in FY26 with typical 18-month paybacks.
- Management describes the segment as targeting "medium-term cash maximisation".

MECCA VENUES (£M; USD AT ~1.33)	Q1 FY27 (LFL)	QOQ VS Q4 FY26	YOY (LFL)	Q1 FY26 (AS REPORTED)	FY26 (REF)
LFL NGR	**£32.2m (~$43m)**	**−9.0% (base re-cut for 9 closures)**	**0%**	**£35.5m (~$47m), +5%**	**£143.0m (~$190m), +4%**
Customer visits	−3%	n/d	—	−1%	−2%
Spend per visit	+3%	n/d	—	+6%	+6%
Mainstage / interval bingo NGR	n/d	n/d	—	n/d	£23.8m +12% / £39.8m 0%
Gaming machines NGR (share of NGR)	n/d	n/d	—	n/d	£60.1m (~$80m), +6% (42%)
Estate (clubs)	41	41	−9	50	41 (9 closed; £12.6m FY26 revenue)
Bingo duty	Abolished (full quarter)	Abolished (first quarter)	vs 10%	10%	Abolished from Q4; £1.6m in-year, c.£6.4m annualised
Underlying LFL operating profit / margin	n/d	n/a	n/a	n/d	£8.9m (~$12m), +107%; 6.2%
Statutory operating profit	n/d	n/a	n/a	n/d	£7.8m (~$10m) vs −£0.9m
FY27 segment target (Aug-26)	Not reiterated	—	—	—	"Double-digit operating profit in 2026/27"
Customer NPS / colleague engagement	n/d	n/d	—	n/d	76 / 8.5

6 SEGMENT DEEP-DIVE — ENRACHA VENUES (SPAIN)

+7% to £10.9m (~$14m) on electronic gaming +11% — the group's most consistent and highest-margin unit, and its only hedge against UK fiscal risk.

Q1 REVENUE

LFL NGR grew 7% to £10.9m (~$14m), driven by electronic gaming +11%, with remarkably consistent growth cadence.

- Nine large multi-game bingo-led venues combining bingo, electronic roulette, gaming machines and sports betting; LFL excludes FX, so local-currency growth.
- 3.5% below Q4 FY26's £11.3m (~$15m), seasonal rather than a trend break: +5% (Q1 FY26), +7% (FY26), +6% (Q4 FY26), +7% now.
- No visit or spend-per-visit split for the quarter (FY26: visits −1%, spend per visit +8%).

PROFIT AND ECONOMICS

FY26 operating profit was a record £12.0m (~$16m), +8%, at a 26.5% margin — highest in the group, a third of Group profit from 5% of revenue.

- Gaming machines 46% of FY26 revenue, machine numbers +16% since FY24 with revenue per machine +6%; bingo product competitors have withdrawn.
- Well-invested venues: Sabadell machine-area expansion; Seville Bingo Boom social format being copied into Mecca Stockton.
- December 2025 payment fraud (£6.5m, ~$8.6m, separately disclosed item) was a control failure, not trading, but Spanish units run on a separate platform and control environment.

STRATEGIC HEDGE AND GUIDANCE

Enracha plus Yo digital (c.£75m, ~$100m NGR, c.£15–16m, ~$20–21m profit) carry no RGD or MGD exposure, but the hedge is partial.

- At current scale they offset perhaps a third of the modelled net RGD headwind.
- Guidance implicit in Group line; we expect FY27 Enracha operating profit of £12–13m (~$16–17m) on mid-single-digit growth (our estimate).
- Reported sterling figures sensitive to EUR/GBP.

ENRACHA VENUES (£M; USD AT ~1.33)	Q1 FY27 (LFL)	QOQ VS Q4 FY26	YOY (LFL)	Q1 FY26 (AS REPORTED)	FY26 (REF)
LFL NGR	**£10.9m (~$14m)**	**−3.5%**	**+7%**	**£10.4m (~$14m), +5%**	**£45.3m (~$60m), +7%**
Electronic gaming NGR	+11%	n/d	—	n/d	n/d
Customer visits / spend per visit	n/d	n/d	—	n/d	−1% / +8%
Gaming machines share of revenue	n/d	n/d	—	n/d	46% (FY25: 45%)
Venues	9	9	—	9	9
Reported (non-LFL) NGR	n/d	n/d	n/d	n/d	£45.3m, +11% (FX)
Underlying LFL operating profit / margin	n/d	n/a	n/a	n/d	£12.0m (~$16m), +8%; 26.5%
Statutory operating profit	n/d	n/a	n/a	n/d	£9.7m (~$13m), −30% (fraud SDI)

7 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- **Grosvenor machines +14%, accelerating for a fourth consecutive quarter** (Q3 FY26 +10%, Q4 +12%) on an estate expanded by 850 machines with minimal capex; weekly machine NGR tracking from £2.2m (~$2.9m) toward the ≥£3m (~$4.0m) target with 2–3-year maturation still ahead. structural
- **UK digital proven viable at 40% RGD**: +6% UK NGR (Mecca online +7%) with ATL marketing cut and first-time depositors growing — the 'can it survive the duty' question answered, even if profit steps down. early
- **Guidance held with Q1 growth (+5%) at the top of the 4–5% FY assumption**; Shore Capital left FY27 adj. PBT of £54.7m (~$73m) unchanged. Easier Q2 FY26 comparison ("slightly softer") sets up H1. mixed
- **Estate pruning is working**: 9 Mecca and 3 Grosvenor closures remove loss-makers from a semi-fixed cost base; Mecca LFL op profit doubled in FY26 to £8.9m (~$12m) with c.£4.8m (~$6.4m) of incremental bingo-duty tailwind still to come in FY27. structural
- **Balance sheet and cash trajectory improving**: net cash pre-IFRS 16 £56.8m (~$76m), new 4-year £120m (~$160m) RCF, capex falling to c.£40m (~$53m) in FY27 from £50.2m (~$67m), progressive dividend (+35% to 3.50p, ~$0.047). structural
- **Enracha +7% with a 26.5% margin** — a consistent compounder outside the UK tax net, and the proving ground (Seville social bingo) for Mecca's format evolution. structural

▼ LOWLIGHTS

- **In-quarter deceleration**: first six weeks +8% Group / +10% digital versus +5% / +6% for the full quarter implies weeks 7–13 at roughly +2–3% (our estimate). Management explained Mecca (weather) but not digital. watch
- **Mecca visits −3%, the third consecutive decline** (−1%, −2%, −3%) with spend-per-visit growth halving to +3%; the heatwave is one-off, the attrition of an older customer base is not. The August 'double-digit profit' target was not reiterated. mixed
- **Digital growth halved from Q4 (+12%) and the Grosvenor online brand was not disclosed**; the "marketing spend balance" language hints that the ATL cuts that saved FY26 profit may need partial reversal. Digital profit will step down from £37.9m (~$50m) regardless. watch
- **The equity is a Budget binary and guidance says so**: "based on the current industry tax regime". A hypothetical MGD doubling (Shore: £25m Grosvenor + £10m Mecca, ~$47m gross) equals c.45% of FY26 underlying operating profit; Rank's own November 2025 RGD disclosure was c.£40m (~$53m) gross. governance
- **Revenue-only disclosure**: no EBITDA, profit, cash, actives, ARPU, marketing ratio or net sports/gaming margin — materially thinner than listed peers' quarterly reporting, and it leaves the digital margin trajectory unobservable until 28 January. governance
- **Governance still interim**: permanent CFO and Senior Independent Director vacancies, interim Audit and Remuneration chairs, a proposed £5.0m (~$6.7m) Gambling Commission settlement awaiting finalisation, and a £6.5m (~$8.6m) Spanish payment fraud within the last year. governance
- **SDI cash drag continues into FY27**: FY26 SDIs £22.9m (~$30m) with £10.3m (~$14m) cash out; management flagged further outflows in FY27, to which the Q1 casino closures add unquantified costs. one-off

8 FORECAST & OUTLOOK

Guidance bridge. Guidance is unchanged in form and substance: at the August prelims Rank said digital profitability would 'inevitably step down' in FY27 on annualised 40% RGD while reiterating the ≥£100m (~$133m) medium-term operating profit ambition; on 15 October it reaffirmed FY27 Group LFL operating profit 'in line with market expectations', with the explicit condition 'based on the current industry tax regime in the UK'. No division moved the guidance; the bridge from FY26 is driven by digital (RGD annualisation) on the downside and Grosvenor machines plus Mecca duty abolition on the upside. Rank does not publish a consensus figure we could retrieve; Shore Capital's unchanged model (adj. PBT £54.7m, ~$73m; LFL NGR +4–5%; c.£20m, ~$27m net RGD headwind) implies underlying operating profit of roughly £70m (~$93m), c.£9m (~$12m) below FY26.

FY26 UNDERLYING OPERATING PROFIT (BASE)	RGD ANNUALISATION, NET OF H2 FY26 MITIGATION (SHORE EST.)	VENUE DROP-THROUGH + BINGO DUTY ABOLITION + CLOSURES (OUR EST.)	FY27E UNDERLYING OPERATING PROFIT (OUR ESTIMATE ≈ 'MARKET EXPECTATIONS')
£78.6m (~$105m)	**c.–£20m (~–$27m)**	**c.+£10–12m (~+$13–16m)**	**£68–72m (~$90–96m)**
9.4% margin; LFL basis £79.9m	gross c.–£40m pre-mitigation per Nov-25 RNS	Grosvenor +£3–5m, Mecca +£2–3m incl. £4.8m duty, Enracha +£0.5–1m, corporate flat	c.–9% to –13% YoY; margin c.8%

Independent view. Next quarter (Q2 FY27, Oct–Dec): we expect Group LFL NGR growth of **+4–6%** against a comparison management itself called 'slightly softer' — Grosvenor +5–7% with machines still double-digit (the +12% Q2 FY26 machine comp is manageable), digital +4–6% as the back-half-of-Q1 run-rate meets an easier comp (Q2 FY26 digital c.+4% implied from H1 +8%), Mecca 0–2% as weather normalises, Enracha +5–7%. H1 FY27 underlying operating profit should land around **£33–36m (~$44–48m)** versus £40.6m (~$54m) in H1 FY26, with the full RGD step-down visible in digital for the first time. **Full year:** LFL NGR **£865–875m (~$1.15–1.16bn), +4–5%**; underlying EBITDA c.**£128–133m (~$170–177m)** (margin c.15%, down c.150bps); underlying operating profit **£68–72m (~$90–96m)** — i.e. we sit at or marginally below the Shore-implied c.£70m, because we assume some marketing re-investment in H2 and no recovery in Mecca visits. **Leverage direction: improving.** Capex down c.£10m (~$13m), SDI cash outflows of perhaps £8–10m (~$11–13m), dividends c.£16m (~$21m) and no buyback should still lift net cash pre-IFRS 16 from £56.8m (~$76m) toward **£60–70m (~$80–93m)** by June 2027; IFRS 16 net debt stays c.1.1–1.2x EBITDA. **Swing factors:** (1) the Autumn Budget — an MGD increase of any size would cut these numbers by up to £35m (~$47m) gross and trigger further closures; conversely, no change removes the discount the shares carry at c.3.6x FY26 EV/EBITDA (IFRS 16, our calc); (2) whether digital growth re-accelerates or the 'marketing balance' resets margin; (3) the Q4 FY27 digital comp of +12%; (4) Mecca visit recovery and the unrepeated double-digit profit target. All figures above are our estimates, not company guidance.

What to watch next quarter:

- Autumn Budget outcome on Machine Games Duty (20%) and any RGD base change from GGR to GGY — the single determinant of FY27–28 earnings; the date was not confirmed in our sources.
- H1 FY27 results on 28 Jan 2027: first disclosure of digital operating margin under a full 40% RGD run-rate, marketing re-investment, SDI quantum from the three Grosvenor closures, and whether Mecca's 'double-digit' FY27 profit target survives.
- Grosvenor weekly NGR and machine NGR versus the £9.5m (~$12.6m) and ≥£3m (~$4.0m) medium-term targets; evidence from the smaller-format casino trial and machine loyalty pilot.
- Digital growth cadence into the +12% Q4 FY27 comp, Grosvenor online disclosure, and international (Spain/Portugal) momentum after a +4% quarter.
- Mecca visit trend post-heatwave, app/single-membership rollout completion, and interval bingo modernisation.
- Governance completion: permanent CFO, Senior Independent Director, permanent committee chairs; finalisation of the £5.0m (~$6.7m) Gambling Commission settlement; Financial Risk Assessment implementation.

DATA CONFIDENCE: MEDIUM FX: GBP/USD ~1.33 as of 15 Oct 2026 (rate inferred from same-day press conversions, e.g. iGaming Business £216.1m = $286.5m; a direct rate lookup could not be completed — treat USD figures as approximate). All Q1 FY27 LFL NGR figures, KPIs, closures, outlook wording and CEO quotes were cross-checked between the verbatim RNS text (RNS 0100Z via ADVFN) and at least four same-day secondary reports (NEXT.io, SBC News, iGaming Business, Proactive/Yahoo, TipRanks, G3) with no discrepancies. FY26 reference figures are from Rank's own preliminary results release (13 Aug 2026). Rank's Q1 update contains no profit, EBITDA, EPS, cash, actives, ARPU or marketing-ratio data — those cells are marked n/d, not estimated. Unverified: the 15 Oct closing share price (only a 09:31 print found); the company-compiled FY27 consensus (Shore Capital's model used as proxy); the Autumn Budget date; Q3 FY26 Group NGR (£205.4m is derived from FY26 less H1 less Q4). The Gaming Intelligence article supplied by the user is paywalled and contributed only its headline. QoQ comparisons for Mecca and Grosvenor straddle an LFL re-basing for closed venues and are flagged as such.

Sources: [Primary] Rank Group plc — Q1 2026/27 trading update, RNS 0100Z, 15 Oct 2026 (verbatim text via ADVFN); [Primary] Rank Group plc — Preliminary results for the 12 months ended 30 June 2026, RNS 4759Q, 13 Aug 2026 (rank.com); [Primary] Rank Group plc — Result of AGM, 8 Oct 2026 (via ADVFN; shares in issue 468,429,541); [Secondary] NEXT.io — 'Rank Group highlights digital resilience despite headwinds', 15 Oct 2026 (user-supplied); [Secondary] Gaming Intelligence — 'Rank Group delivers like-for-like revenue growth in fiscal first quarter', 15 Oct 2026 (user-supplied; paywalled, headline only); [Secondary] SBC News — 'Rank Group ends Q1 up 5% on net revenue', 15 Oct 2026; [Secondary] iGaming Business — 'Rank CEO says MGD rise would reduce viability of venues…', 15 Oct 2026 (USD conversion reference); [Secondary] Proactive Investors / Yahoo Finance UK — 'Rank Group grows revenue 5% as Shore Capital flags tax risks', 15 Oct 2026 (Shore Capital forecasts, MGD sensitivity, share performance); [Secondary] Proactive Investors — 'Rank Group warns higher gaming duty could cost jobs and venues', 15 Oct 2026; [Secondary] TipRanks — 'Rank Group posts Q1 revenue growth but warns on UK tax risks', 15 Oct 2026 (interim results date 28 Jan 2027); [Secondary] G3 Newswire — 'Having closed three casinos, Rank warns of more if Machine Games Duty increases', 15 Oct 2026; [Secondary] GamblingNews — 'Rank Group Posts Strong Q1 Results, Despite UK Headwinds', 15 Oct 2026; [Secondary] Sharecast (via sharecast.com) — Rank share price 74.10p at 09:31 on 15 Oct 2026; and 27 Nov 2025 market report on c.£40m pre-mitigation Budget impact; [Secondary] Gambling Insider — 'Rank Group reports 9% revenue growth in Q1 FY2025/26', 15 Oct 2025 (prior-year comparatives); [Secondary] iGaming Business — 'Rank Group expects FY profit to surpass forecasts despite regulatory settlement', 14 Jul 2026 (Q4 FY26 segment figures); [Secondary] SBC News — 'Job cuts help Rank Group push yearly profit estimate to £76m', 14 Jul 2026; [Secondary] Hargreaves Lansdown / Sharecast — 'First-half revenues spark at Rank Group', 29 Jan 2026 (H1 FY26 figures).

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